financial regulatory system' was introduced in the US that culminated in a legislation called the Wall Street Reform and Consumer Protection Act (*also called the Dodd-Frank Act*) in July 2010. This is a voluminous and overarching Act (1601 sections) with provisions for:

- Comprehensive regulation of financial markets (including the derivatives markets).
- Consolidation of regulatory agencies.
- Establishing of a new oversight council called the '*Financial Stability Oversight Council'* to evaluate systemic risk.
- The provisions also aim to address the 'too big to bail out' problem and bring in the requirement of large complex financial companies submitting plans for their orderly shutdown.
- The intent is that the cost arising from liquidation of large interconnected financial companies will not fall on the taxpayers.
- The Act incorporates what has been termed the '*Volcker rule*', whereby depository banks would be prohibited from proprietary trading (similar to the prohibition of combined investment and commercial banking in the *Glass-Steagall Act*).
- The Act includes improved standards for regulation of hedge funds and credit-rating agencies, improved accounting standards, investor protection, and norms of executive compensation.
- As suggested in the title of the Act, it has provisions for consumer protection reforms and the establishment of a new consumer protection bureau and also a new Office of Minority and Women Inclusion as Federal banking and securities regulatory agencies.

This report of the US, still the most predominat player in the global economy, is being seen as the most important document towards Financial Regulation (as it has the potential to affect almost all world economies including the decisions of the G-7 and G-20, too) and thus has been a matter of great attention around the world, especially, among the EMEs. It is believed that its implementation will be followed by a wave of financial adjustments by the other economies of the world. Thus, there are chances that via this the 'good' and the 'bad' of the financial regulation will automatically diffuse into the global economy, which may